

Lec 2

Cost Accounting — Notes

24 July 2026

1. Cost

CIMA definition: *"The amount of expenditure incurred on, or attributable to, a given thing."*

Simple meaning: Cost is what is given up or sacrificed in order to obtain something — it represents the resource sacrifice (usually measured in money) needed to acquire a good, service, or benefit.

Key points:

- Cost is always relative to a "given thing" — i.e., it must be attributed to a specific cost object (a product, job, process, service, or activity).
 - It can be historical (already incurred) or notional/estimated (attributed for planning purposes).
 - Cost is objective and monetary — it is measurable, unlike "value," which can be subjective.
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2. Cost Accountancy

CIMA definition: *"The application of costing and cost accounting principles, methods, and techniques to the science, art, and practice of cost control and the ascertainment of profitability."*

Cost accountancy is the **broadest term** among the three — it is an umbrella discipline that includes:

Component	Meaning
Costing	The technique and process of ascertaining costs
Cost Accounting	The formal process/system of recording and accounting for cost
Cost Control	Regulating cost to keep it within pre-determined limits
Cost Audit	Verification of cost accounts and adherence to cost accounting plans

So: **Cost Accountancy = Costing + Cost Accounting + Cost Control + Cost Reporting/Analysis**, all aimed at profitability ascertainment and managerial decision-making.

3. Cost Accounting

Definition: The process of accounting for cost, beginning from the point at which expenditure is incurred or committed, up to the establishment of its ultimate relationship with **cost centres** and **cost units**.

In short: It is a systematic procedure for recording, classifying, allocating, and analysing costs so that they can be related to specific cost centres/units, enabling cost ascertainment and control.

Flow of cost accounting:

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Expenditure incurred/committed
      ↓
Recording & Classification (by nature: material, labour, overheads)
      ↓
Allocation/Appportionment to Cost Centres
      ↓
Absorption into Cost Units
      ↓
Ascertainment of Total & Unit Cost
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4. Objectives / Uses of Cost Accounting

A. Determining Cost and Selling Price

- Ascertains the cost of production of goods/services.
- Assists in fixing a selling price that ensures adequate margin, based on accurate cost data rather than guesswork.

B. Cost Control

- Helps monitor actual costs against standards/budgets.
- Identifies variances and inefficiencies (excess material usage, idle labour, wastage) so corrective action can be taken.

C. Product-wise Profitability

- Since costs are traced to individual products/services, management can identify which products are profitable and which are loss-making or low-margin.
- Assists in decisions like discontinuing an unprofitable product line.

D. Developing Management Information Systems (MIS)

Cost accounting generates data that feeds into managerial decision-making, particularly for:

a. Fixing prices under normal and special circumstances

- Normal circumstances: $\text{price} = \text{cost} + \text{desired margin}$.
- Special circumstances: e.g., recession, export orders, off-season — may require pricing at marginal cost or below normal price to utilize idle capacity.

b. Determining priorities for products

- When resources (machine hours, labour, raw material) are limited, cost data helps rank products by contribution per unit of the scarce resource, to decide production priority.

c. Make-or-buy decisions

- Deciding whether a component should be purchased from the market or manufactured in-house.
- Based on comparing the marginal/variable cost of making it internally versus the market purchase price, along with capacity considerations.

d. Deciding on the best process of manufacture

- Where multiple production methods/processes exist, cost accounting compares the cost of each alternative to select the most economical one.
 - (etc. — cost data supports many other similar operational decisions.)
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5. Cost Unit

Definition: A unit of product or service in relation to which costs are ascertained.

Purpose: Since cost is meaningless in the abstract, it must be expressed per some measurable unit — the cost unit is that yardstick.

Examples of cost units by industry:

Industry	Cost Unit
Steel	Per tonne
Cement	Per bag / per tonne
Automobile	Per vehicle
Power/Electricity	Per kilowatt-hour (kWh)
Transport	Per passenger-km / tonne-km
Hospital	Per patient-day / per bed
Hotel	Per room-day
Brick-making	Per 1,000 bricks
Sugar	Per quintal/tonne

Quick Summary Table

Term	Definition (CIMA/essence)	Scope
Cost	Expenditure incurred/attributed to a given thing	Narrowest — a single figure
Costing	Technique/process of ascertaining cost	Method
Cost Accounting	Process of recording cost from incurrence to relating it to cost centres/units	System
Cost Accountancy	Application of costing & cost accounting principles to cost control and profitability ascertainment	Broadest — the whole discipline